

PAPER No 1

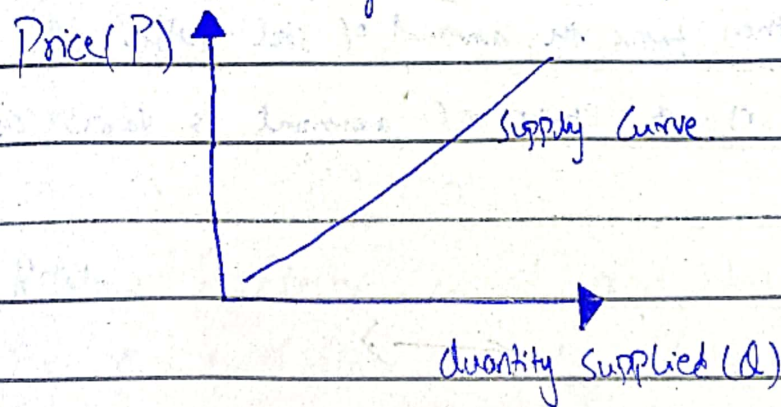
Q1) (MCOS) mix thy demand supply or
Curve k Conceptual thy.

Subjective:-

Q1) Law of Supply with grap.....

The Law of Supply states that the quantity supplied will go up as the price goes up and vice-versa. As output increases, ~~output~~ cost will also increase.

A Supply Curve is a table which shows various combinations of quantity supplied and price. ~~Both Graph~~



Q2). Value di thi merge find karna tho ?

Ans Cost of Merges = $P_X \times Y - P_Y \times Y$

You have both the supply and demand curves for a particular product or service.

Supply curve represents the quantity that producers are willing to supply at different price levels, while demand curve represents the quantity consumers are willing to buy at different levels of price.

Q.3) Value di thi usko solve kr kr pss kr banana
tha $Q_d = 400 - 0.5y$ ko Value given thi?

y	$Q_d = 400 - 0.5y$
100	350
200	300
300	250
400	200
500	150

In this table y is independent
variable if $y = 100$ then $Q_d = 400 - 0.5(100)$.
 $Q_d = 350$

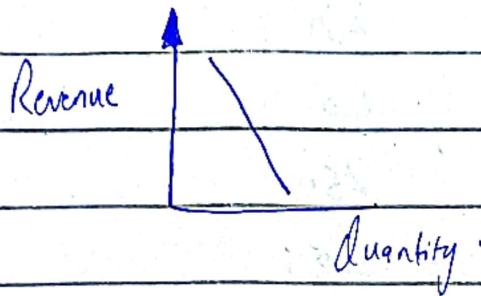
Q.4) Relation of Elastic demand and total revenue?
The relation of Elastic demand and total revenue
is inverse or negative. When demand is elastic
a change in price leads to a relatively
larger change in quantity demanded. As a
result a price decrease increases total
revenue while a price increase decreases
total revenue.

2nd When demand is elastic, a change in price has a greater
effect on quantity demanded, and total revenue moves in opposite
direction of price change. A price decrease leads to an increase
in total revenue. while a price increase leads to a decrease in TR

(PAPER NO 2)

Q1) Explain the shape of revenue Curve with diagram.

The shape of a revenue Curve depends on the type of market structure and the behavior of consumers and producers.



Q2) How to find profit of any data?

find profit of a firm or business in economics

Consider the both revenues ^{and} costs

formula ^{profit} = Total Revenue - Total Costs.

$$TR = P \times Q.$$

Example

Price per Unit = 10

Quantity sold = 100 units

fixed cost = 1000

Variable cost = 5

Calculate $TR = P \times Q.$

$$TR = 10 \times 100 \quad \text{Profit} = 1000 - \overset{1500}{\cancel{6000}}$$

$$TR = 1000 \quad \text{Loss} = -5000$$

Calculate $TC = \text{Fixed cost} + (\text{Variable cost} \times \text{Quantity sold})$

$$TC = 1000 + (5 \times 100).$$

$$= \cancel{1000 + 500} = \boxed{1500 = TC}$$

Q3) Identify the curve and determine labor is hired or not and tell the market is surplus or demand?

Ans if there is a portion of labor supply curve that is not utilized or where the quantity supplied exceeds the quantity demanded, it indicates the labor is not hired.

if the quantity of labor demanded is less than quantity of labor supplied at the prevailing wage level. It indicates a surplus in labor market.

/ — >

(PAPER 3)

Q1). Find Average from Output and TR?

Average Value = $TR / \text{Quantity of Output}$
Values

$$TR = 5000$$

$$Q \text{ Output} = 100 \text{ units.}$$

$$AV = TR / QO$$

$$AV = 5000 / 100$$

$$AV = 50$$

⟶

Remaning Paper 3 on
paper 1 next p

Q2.) Define Variable Cost with example?

Ans Costs, which vary with the level of activity (or output) are called variable costs. Variable cost is cost of labor that changes according to the change in volume of production units.

Example:

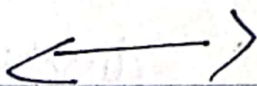
if company produce 100 bikes.

it require steel rubber plastic etc

when company produce 200 bikes.

then twice the amount of steel rubber

there is a twice of amount is variable cost.



(PAPER No 4)

Q1). Define indifference curve?

(Same as Q 18)

Q2). Define inelastic demand?

(Same as Q 12 2nd Page)

Q3). $Q_d = 10 - 3P$ the value of P is 2 then find demand quantity.

Sol: $Q_d = 10 - 3P$

Value of $P = 2$.

$$Q_d = 10 - 3(2)$$

$$Q_d = 10 - 6$$

$$Q_d = 4$$

Q4). Total Physical Production is 500 units find Average " " ?

Formula, $APP = TPP / \text{Number of Units produced}$

$TPP = 500$, Number of units = 100

$$APP = 500 / 100$$

$$APP = 5 \text{ Units}$$

(PAPER No 5)

Q1) Difference b/w MPP and TPP ?

MPP is addition to TPP brought by employing an extra unit of variable factor, More generally

$$MPP = \Delta TPP / \Delta DF.$$

TPP is factor is the latter's total contribution to output measured in units of output produced.

Q2) Relation b/w price and total revenue in case of unit price elastic curve.

Relationship b/w price and TR is such that a change in price ~~causes~~ results in no change in TR. This occurs when price elasticity of demand equal to -1.

Mathematically relationship can be expressed as:

Price Elasticity of Demand (PED) =

Percentage change in Quantity Demanded

" " " Price

Q3) $P = 10$ $Q = 20$ Find TR.

$$TR = \text{Price} \times \text{Quantity}$$

$$TR = 10 \times 20$$

$$TR = 200.$$

(PAPER NO 6)

Q1) Average revenue formula.

$$\text{Average revenue} = \text{TR} / \text{Number of units sold}$$

Q2) L shaped curve kya hai kaha?

L shaped curve is commonly used in economics to describe a situation where there is a sharp decline in a variable followed by a flat or stagnant period.

Q3) P of petrol rises by 12%. the Q of petrol produced falls by 8%. Demand for petrol?

It suggests that there has been a decrease in supply of petrol. the demand for petrol cannot be determined based on these supply side changes. Demand for petrol is influenced by various factors, including price, consumer preferences, income levels, and

~~XXXXXXXXXXXXXXXXXXXX~~

Q4) Find Horizontal point?

Horizontal on y.

⇒

(PAPER NO 7)

Q1) Write the role of firm? and what is firm.

Ans A firm is any organized form of production, in which someone or collections of individuals are involved in production of goods and services.

The key role played by firm is production of output using the economy scarce resources. Firms are the ~~means~~ ^{means} through which society transforms less satisfying resources into more satisfying goods & services.

Q2) Elastic demand for petrol?

Initial price = 2.50 , Final Price = 3.00

Initial quantity Demanded = 1000 , final quan Demanded = 800

Sol $\% \text{ change in price} = (\text{Final price} - \text{Initial price}) / \text{Initial price} \times 100$

$$= ((3.00 - 2.50) / 2.50) \times 100$$

$$= (0.50 / 2.50) \times 100$$

$$= 0.2 \times 100 = 20$$

$$\% \text{ chng in quantity Demanded} = ((QD - \text{Initial } QD) / \text{Initial } QD) \times 100$$

$$= ((800 - 1000) / 1000) \times 100$$

$$= (-200 / 1000) \times 100$$

$$= -0.2 \times 100 = -20$$

Now we Calculate Price Elasticity of Demand.

$$\text{Price E of Demand} = \left(\frac{\% \text{ ch in QD}}{\% \text{ ch in P}} \right)$$

$$= \frac{-20\%}{20\%}$$

$$= -1$$

Price Elasticity of Demand = -1

Negative Sign indicates the demand for Petrol is elastic.

Q3). Draw Supply Curve of three lines and find types of Elasticity.

1). Perfectly Elastic Supply:

Is a horizontal line parallel to the quantity axis.

2). Perfectly Inelastic Supply:

is a vertical line parallel to the price axis.

(3) Relatively Elastic Supply:

has a positive slope that is not too steep.

(4) Relatively Inelastic Supply:

has a positive slope that is steep.

(PAPER No 8)

Q1). Differentiate b/w risk lover and risk averse?

Risk lover (Risk Taker).

Risk lover may be more willing to invest in higher-risk assets. They are typically concerned about the possibility of losses and more focused on potential for significant gains or rewards.

Risk Averse

An individual or investor is someone who prefers to avoid or minimize risks when making decisions involving uncertain outcomes. They have a lower tolerance for risk and are more concerned about potential for losses rather than gains.

Q2) $P = 100$, $Q = 200$

Find TR = total revenue.

Sol

$$TR = P \times Q$$

$$TR = 100 \times 200$$

$$TR = 20000$$

Q3) Find point Elasticity

Equation: $Q = 100 - 2P$

Sol:

$$Q = 100 - 2P$$

need to calculate derivative of Q with respect to P

$$dQ/dP = -2$$

formula

$$\text{Point Elasticity} = (dQ/dP) \times (P/Q)$$

when $P = 20$

~~$$Q = 100 - 2(20)$$~~

$$Q = 100 - 2(20)$$

$$Q = 100 - 40 = 60$$

$$= (dQ/dP) \times (P/Q)$$

$$= (-2) \times (20/60)$$

$$= -2 \times (1/3)$$

$$= -2/3$$

$\text{Point Elasticity} = -2/3$

Q7) Define Isoquant or Isocost ?

ISOQUANT :-

~~Ans~~

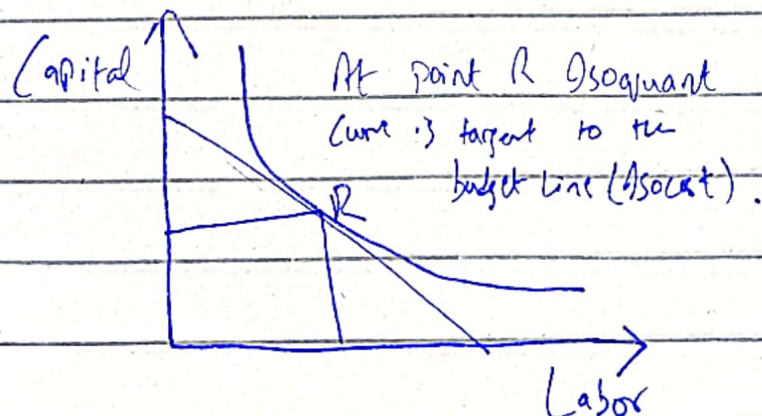
Same As

Q 19

ISOCOST :-

Isocost refers to a line that represents all the combinations of inputs that can be purchased at a given total cost.

- if price of both input increases, the isocost line shift inwards.
- if price of one input increases, it pivots out.
- The slope of isocost is PL / PK .



Same as budget line.